iwoca Pay

Credit where it's due

Why B2B needs a digital credit upgrade

A Cebr report for iwocaPay

September 2024

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Cebr

“In other words, with a changing world, it’s time for credit where it’s due.”

Introduction

Lara Gilman and Rob Jones, Co-Leads of iwocaPay

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Introduction

"Much like an earthquake, coronavirus' aftershocks on the SME economy are going to be hard to anticipate"

- Levelling the Paying Field, 2020

"In any given moment we have two options: to step forward into growth or step back into safety"

- Abraham Maslow

In June 2020, we launched iwocaPay in the midst of a global pandemic. Alongside the product launch, we released a report that captured the perspectives of 500 UK businesses navigating a period of unprecedented uncertainty. These businesses highlighted how the pandemic worsened the existing challenges they faced in managing cash flow and maintaining overall financial health.

B2B suppliers were particularly affected due to the widespread practice of offering payment terms, which came with significant credit risk. At the time, 35% of B2B suppliers reported being owed more than £10,000 in outstanding invoices, and nearly a third doubted they would ever be paid. The combination of the coronavirus and economic lockdown had triggered an acute trade credit crunch.

However, these businesses were also taking steps to respond to the crisis. They were not only adapting their models to operate in a 'remote-first' world but also reconsidering their business practices to better manage future financial shocks. More than a third of businesses offering payment terms told us they were more likely to reduce their terms or request advance payments from customers in the future. We anticipated that a small silver lining of the pandemic would be a step-change, prompting UK businesses to become more efficient, resilient and productive.

Four years later and for many UK businesses, the "new normal" looks like "business as usual" and the productivity problems are ever present. In Q1 2024, productivity was only 1% higher than Q4 2019 prompting the government to write, "it appears the pre-pandemic trend of sluggish productivity growth has continued." [1]

However, our experience with businesses using iwocaPay tells a different story. We've observed a shifting dynamic among UK suppliers that contrasts with the broader UK productivity trend. To better understand this discrepancy, we set out to explore how our experiences align with or diverge from the larger market trends.

We believe that accessible financing options like iwocaPay can significantly enhance business performance. Since its launch, iwocaPay has offered an alternative to traditional

“We’ve learnt three fundamental truths about productivity in the UK B2B market.”

payment terms or trade credit in B2B transactions, benefiting hundreds of suppliers and thousands of trade customers. We’ve made nearly £100 million available in trade credit and extended over 2,000 years of additional payment terms. The B2B suppliers using iwocaPay are committed to growing their businesses and improving operations, and iwocaPay is one of the key tools helping them achieve these goals. Contrary to contributing to a productivity drag, they are actively enhancing their productivity.

By improving payment and trade credit solutions, businesses can reduce the costs and risks associated with managing payments, thereby boosting productivity. However, adoption of these solutions isn’t universal, so we sought to better understand how businesses currently perceive and use trade credit, their practices, and how new digital solutions like iwocaPay fit into their overall business strategy, performance and readiness.

Working closely with CEBR, we asked 500 UK businesses about their commercial, digital and operational strategy - focusing particularly on the sales and payments process.

In this process we have learned three fundamental truths about productivity in the UK B2B market.

1. Ecommerce is positively reshaping the UK B2B market.
2. Suppliers are facing growing demand for longer payment terms and the pressure of trade credit is here to stay.
3. Digital suppliers are outperforming their more traditional counterparts and are more likely to experience the benefits of more advanced solutions, including digital trade credit.

These insights highlight the evolving landscape for UK B2B suppliers as they navigate both the challenges and opportunities of a rapidly changing market. By embracing digital solutions like iwocaPay, businesses can not only meet the growing demands of their customers but also enhance their operational efficiency and resilience. **In other words, in a changing world, it’s time for credit where it’s due.**

Section one

The digital gap: how ecommerce is shaping B2B business

- Most UK suppliers now rely on digital and self-serve channels, either via an ecommerce platform or by leveraging an online marketplace.
- Ecommerce suppliers are twice as likely as their more offline counterparts to substantially invest in digital over the next 12 months.
- This investment gap will leave more offline suppliers vulnerable to changing customer needs and expectations, resulting in lost market share to more agile, tech-savvy competitors.

62% of UK B2B businesses now take more than half their orders through websites, online affiliates or marketplaces.

"I often or always receive orders via..."

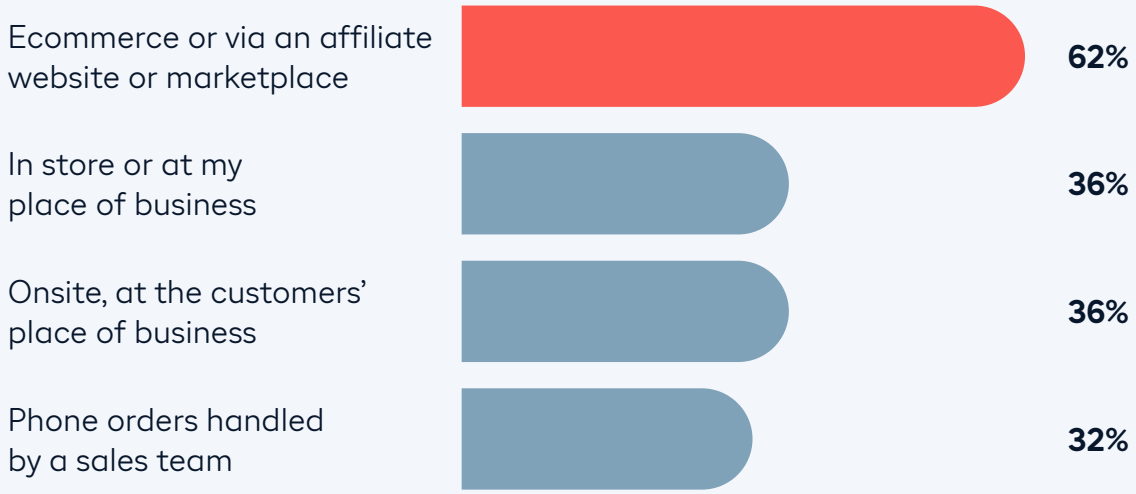


Figure 1: *The most common order channel for suppliers is to receive orders through ecommerce channels or their own websites*

"What proportion of your orders, if any, come from each of the following channels?" (as a % of 2024 B2B suppliers)

B2B sales increasingly happen online.

Suppliers and business customers are embracing online channels. While B2C retail has led the way, with internet sales in the UK growing by 135% over the past decade[2], B2B transactions are now seeing a similar shift.

B2B businesses can no longer rely exclusively on offline to close deals. While offline remains important and sales methods will include both face-to-face interactions as well as online, the actual purchase is more likely to happen online, rather than in-store or on the phone[3]. 62% of UK suppliers said they are taking more than half of their orders through websites or suppliers' online platforms (Figure 1, page 5).

Moreover, it's a trend that persists across industries. (Figure 2, below). Ecommerce and web-based orders are outstripping traditional channels across all industries as access to better technology and services has increased in recent years. The adoption is both supply and demand side as customer expectations are changing in the world of B2B.

Ecommerce and web-based orders are now the most popular channels across all industries.

"I often or always receive orders via..."

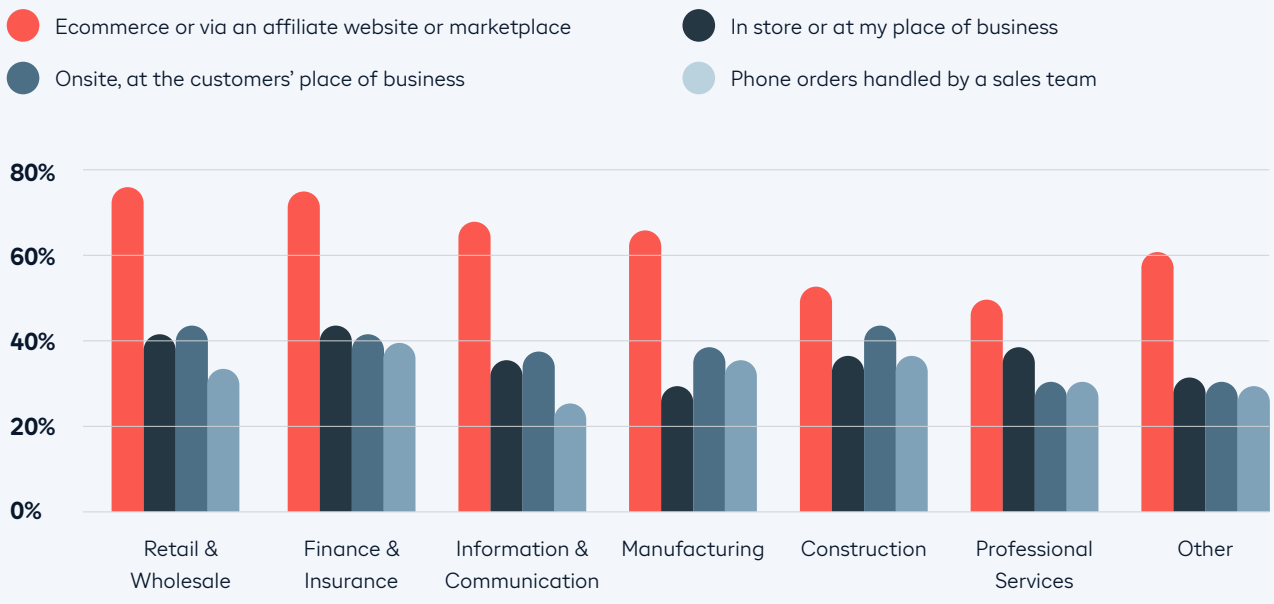


Figure 2: *"What proportion of your orders, if any, come from each of the following channels?" (as a % of 2024 B2B suppliers, by industry)*

Between 2016 and 2021, McKinsey reported that the number of channels used by B2B decision makers doubled and most growth came from digital channels[4]. Unsurprisingly, UK businesses echoed this global trend. Surveyed B2B suppliers that offer an ecommerce option see nearly double the number of orders via a digital platform than their less digital counterparts (Figure 3, below left).

As platforms improve their offering, ecommerce adoption is increasingly possible for businesses of all sizes. From micro to larger businesses, the majority of respondents reported most of their orders coming from online - with larger businesses leading the way and having a slightly higher representation.

B2B suppliers with more than £25m turnover are 1.4x more likely to have most of their orders online (Figure 4, below right).

The message is clear: in B2B, online is where you need to be. The difference in performance between businesses that have embraced this shift is stark – and growing.

Ecommerce suppliers are nearly 2x more likely to get at least half their sales from an online channel.



Figure 3: *"What proportion of your orders, if any, come from each of the following channels?" (as a % of 2024 B2B suppliers, by ecommerce vs. Non- ecommerce businesses)*

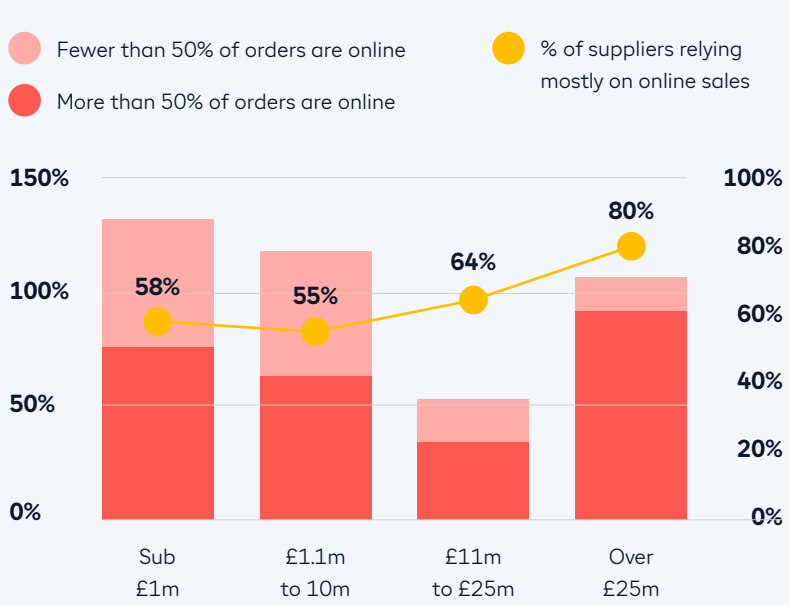


Figure 4: *What proportion of your orders, if any, come from each of the following channels?" (as a % of 2024 B2B suppliers, by turnover)*

There is a widening gap between digital leaders and laggards and it will get wider.

B2B suppliers with higher levels of digitisation are building an advantage – by investing more. This positive momentum has the potential to propel those investing ahead of the pack.

Businesses that are already digitised are more likely to invest into digital.

- Ecommerce businesses are 3x more likely to invest substantially into at least one area of digitisation in the next 12 mos.
- Across online, digital marketing, ecommerce , Cloud Software and Generative AI, B2B businesses with an ecommerce offering are 3 to 5x more likely to be investing "substantially" over the next 12 mos.

Willingness to invest is a significant indicator for the direction of an industry and when it comes to the B2B sector, again ecommerce is where there is a clear line drawn in willingness to invest. Investing in digitisation is well-documented as a key driver of productivity and while B2B ecommerce businesses are investing, offline businesses are at risk of being left behind.

70% of B2B businesses with ecommerce offerings reported that they would be investing "substantially" in at least one digital capability over the next 12 months. By contrast, only 24% of B2B businesses without ecommerce offerings said they would be investing in at least one area of digitisation over the next 12 mos.

In other words, B2B ecommerce businesses are 3x more likely to be investing substantially than their more traditional counterparts (Figure 5, next page).

We also see that ecommerce businesses are also investing across multiple digital capabilities. Meanwhile only a fraction of non-ecommerce businesses are planning on investing in digital - and of those that do the majority report they are only doing it on a marginal basis. Across online, digital marketing, ecommerce , Cloud Software and Generative AI, B2B businesses with an ecommerce offering are 3 to 5x more likely to be investing "substantially" over the next 12 mos (Figure 6, next page).

For firms who are yet to invest properly in digital channels, this is a clear sign to do so and catch up. For those who have already made the move to digital, they need to be looking to areas of untapped potential for the next stage of growth long overdue an update - like trade credit.

B2B ecommerce businesses are 3x more likely to invest substantially in digitisation next year.

Figure 5: *"In the upcoming financial year (i.e. April 2023 – April 2024), what are your business' plans in relation to investment in each of the following [digital] areas?" (as a % of 2024 B2B suppliers, by ecommerce vs. Non-ecommerce businesses)*



Most B2B ecommerce businesses are increasing their investment across digital capabilities.

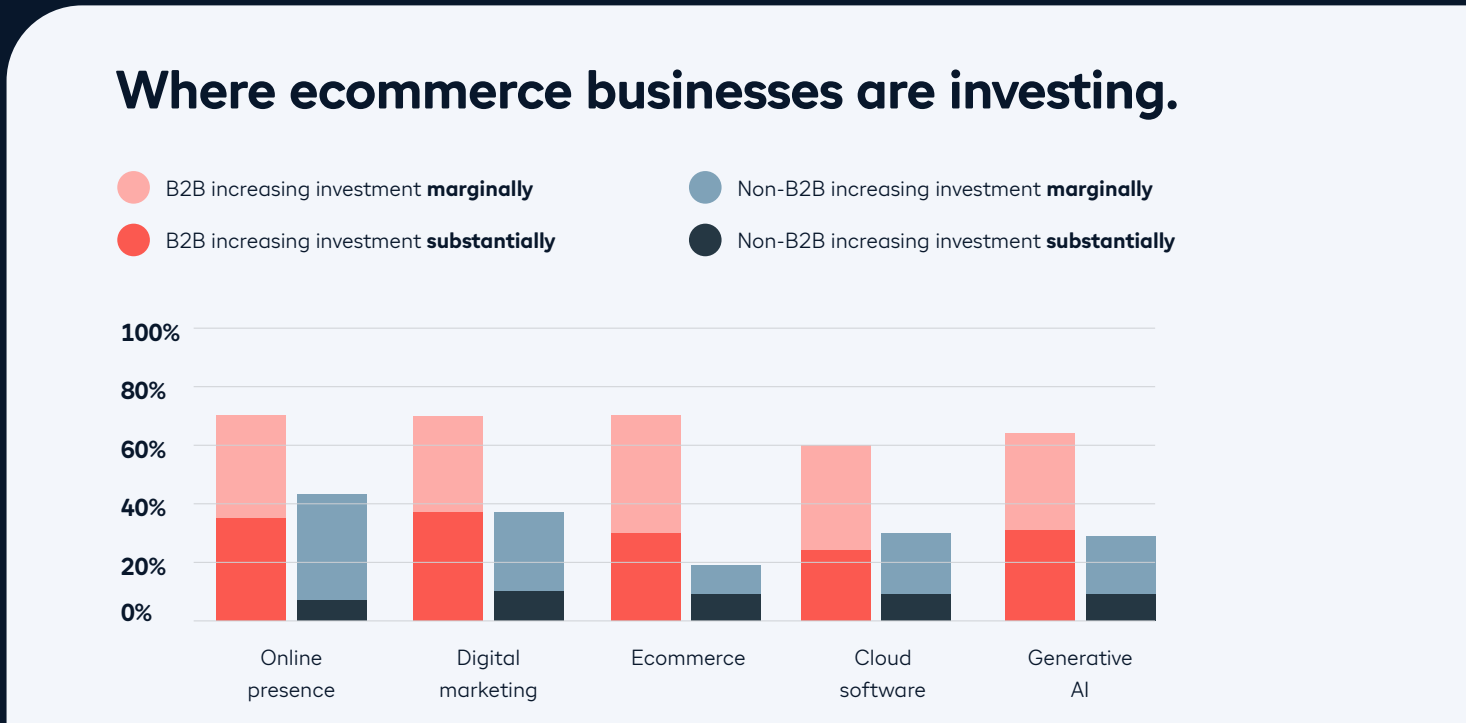


Figure 6: *""In the upcoming financial year (i.e. April 2023 – April 2024), what are your business' plans in relation to investment in each of the following [digital] areas?" (as a % of 2024 B2B suppliers, by Ecommerce vs. Non-ecommerce businesses)*

Section two

Suppliers face a financing gap and traditional trade credit is no longer fit for purpose

- Trade credit remains a driving force for B2B transaction volumes. However, economic conditions have put more pressure on this form of payment, with customers asking for longer terms.
- The growth in longer terms reveals pressure from customers to have more control and flexibility in their payments.
- However, longer credit terms put pressure on suppliers and increase risk and administrative burdens.

Uncertain demand, higher utility prices and tighter borrowing conditions.

SMEs have been put under significant pressure in recent years. The result is more businesses needing credit to fund purchases. Despite this growth trade credit has, until recently, been left out of the digital transition, relying on outdated processes no longer fit for purpose.

Trade credit is an agreement between customers and suppliers, allowing customers to pay for goods and services over an agreed period of time. The supplier gives credit to the customer, so they can get the goods or services immediately but pay for them later.

While trade credit is nothing new, the demands on trade credit are increasing – and businesses with a foundation in digital and ecommerce are going to be better positioned to benefit from new innovations that will make trade credit a competitive advantage.

Trade credit gives essential purchasing power and flexibility to SMEs, but legacy methods carry excess risk and admin.

75% of suppliers[6] and 68% of customers[7] rely on online or in-store credit.

Trade credit has become an increasingly important alternative source of finance for SMEs in a time when formal credit arrangements have become less available. Research finds that when bank credit becomes constrained during monetary policy shocks or business downturns, trade credit fills the gap[8].

However, while trade credit benefits businesses by giving customers payment flexibility, it also creates challenges for suppliers.

Suppliers offering credit wait longer to get paid. In a high interest rate environment this means they take the hit on potential returns from reinvesting in the business or even just putting cash into a savings account.

80% of B2B suppliers offer some form of payment terms.

- 30 days are the most common payment terms offered. This is in line with the UK Payment Terms Act 2017, which sets the statutory payment period to 30 days if no other date is agreed upon.
- Across all business sizes, more than 50% of surveyed B2B suppliers offer some form of payment terms.
- Larger businesses are more likely to offer payment terms - 89% of larger businesses offer terms compared to 51% of micro businesses.

Compared to 2020, suppliers are offering better payment terms. But customers are still demanding more.

We asked businesses in 2020 and 2024 what payment terms they offered. While the majority of businesses (62%) still offer 7 or 30 day terms, there has been a slight decrease when compared to 2020.

It's the opposite when it comes to longer terms of 60, 90 or more than 90 days where there has been 165%, 159% and 127% increases in the number of businesses offering these terms, respectively (Figure 7, below).

These trends reflect the nature of the B2B market, where suppliers are competing more than ever to offer the best experience to win and keep customers.

There has been an increase in businesses offering 60 day, 90 day and over 90 day credit terms.

Change in Payment Terms offered, 2020-2024

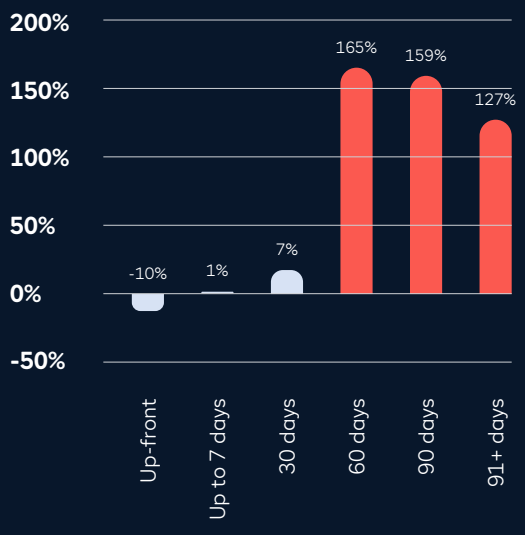


Figure 7: *"What payment terms do you offer?"*

Suppliers have extended their payment terms, but still aren't offering terms long enough to meet customer demands.

The number of suppliers adjusting payment terms has almost doubled in the past four years.

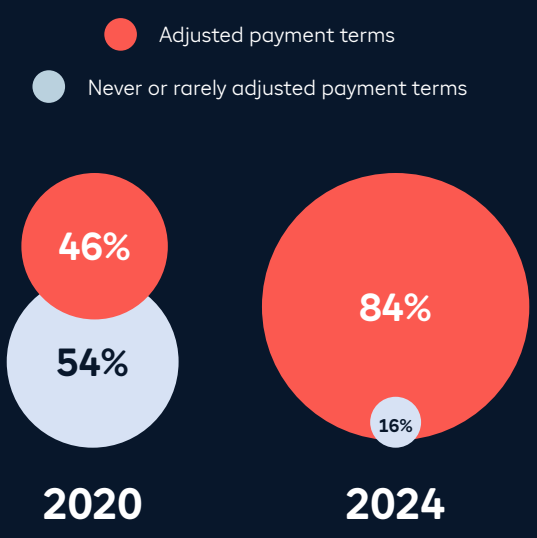


Figure 8: *"Answer option "I never or rarely adjust payment terms" to the question, "When you adjust payment terms or trade credit, what are the common reasons for doing so?" (as a % of B2B suppliers time series comparison sample)*

Longer payment terms are not sufficient as more customers request for an extension of typical payment terms.

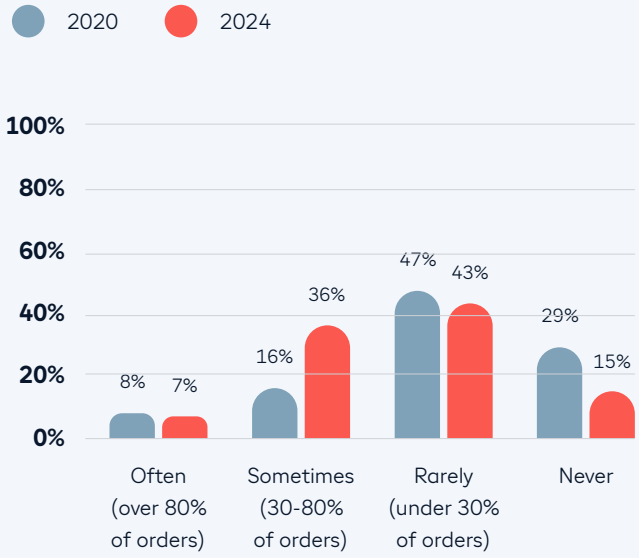


Figure 9: *"How often, if at all, do customers request longer than your typical payment term?" (as a % of B2B suppliers time series comparison sample)*

In 2020, 46% of surveyed B2B businesses reported adjusting payment terms. In 2024, this figure nearly doubled to 84% (Figure 8, above).

Despite the increase in suppliers offering longer payment terms, customers are demanding more. This seems to be driven by customers using longer payment terms to manage their own cash flow:

- The number of customers asking for longer payment terms have almost doubled since 2020.
- The share of suppliers that extended payment terms also almost doubled since 2020.

In today's competitive market, suppliers are motivated to accommodate customer demands - even when it means suppliers are waiting longer to get paid and risk bad debts, especially with new or unknown customers. Suppliers relying on legacy trade credit models find themselves making a choice: take on more credit risk, or risk losing customers.

Trade credit addresses a real customer need.

26% of surveyed B2B suppliers reported offering discounts for upfront payments, representing a fourfold increase since 2020.

The goal of trade credit continues to be to increase sales. By offering flexibility to customers, suppliers incentivise more and larger orders by making payments more manageable. Traditionally, these arrangements have been based on longstanding relationships.

75% of B2B suppliers reported that they offer longer terms for either long-standing customers, larger orders, or larger customers, compared to 41% in 2020. Customer loyalty remained the leading reason businesses adjusted payment terms in both 2020 and 2024. In 2024, nearly a third of businesses adjusted their terms specifically to accommodate loyal and larger customers.

These offers aren't just an added perk, they're in response to a real and pressing customer need:

- 39% of customers say that a lack of payment terms limits their ability to buy the amount of goods they need (Figure 10, below).
- 36% of customers worry about their cash flow.
- 32% say they are forced to rely on external financing due to insufficient payment terms.

The result is payment terms can be make-or-break when it comes to closing a sale:

- Almost one-fifth (19%) of surveyed B2B customers reported avoiding using a supplier due to payment terms.
- Half did not use suppliers because no payment terms were offered, while the other half found the provided payment terms too short.

Payment terms and credit are a key tool to attracting, retaining and growing customers; without them, suppliers risk customers pulling out of a sale.

It's worth clarifying that requests for longer payment terms are not because of a reluctance to place an order or pay. Instead, spreading payments is often a more efficient financial strategy for financially savvy customers.

Issues surrounding liquidity are the key concern for customers in the absence of payment terms.



Figure 10: *""What are the most pressing challenges you face when suppliers are unwilling to extend payment terms?" (as a % of B2B customers)*

Trade credit brings tangible benefits for suppliers – especially for their sales numbers.

Our research aimed to identify the key benefits suppliers experience from offering trade credit. We asked them how their businesses have directly experienced changes in business performance as a result of offering trade credit.

66% of B2B suppliers said that it increased their number of sales (Figure 11, below), and more than half also noted increases across other metrics like improved cash flow and higher order value.

66% of B2B suppliers reported that offering trade credit increased their number of sales.

Our research shows that the number of sales is the most positively impacted metric when offering trade credit.

"I've experienced changes to the following as a direct result of offering trade credit options"

% of B2B suppliers that offer an internal or external trade credit account

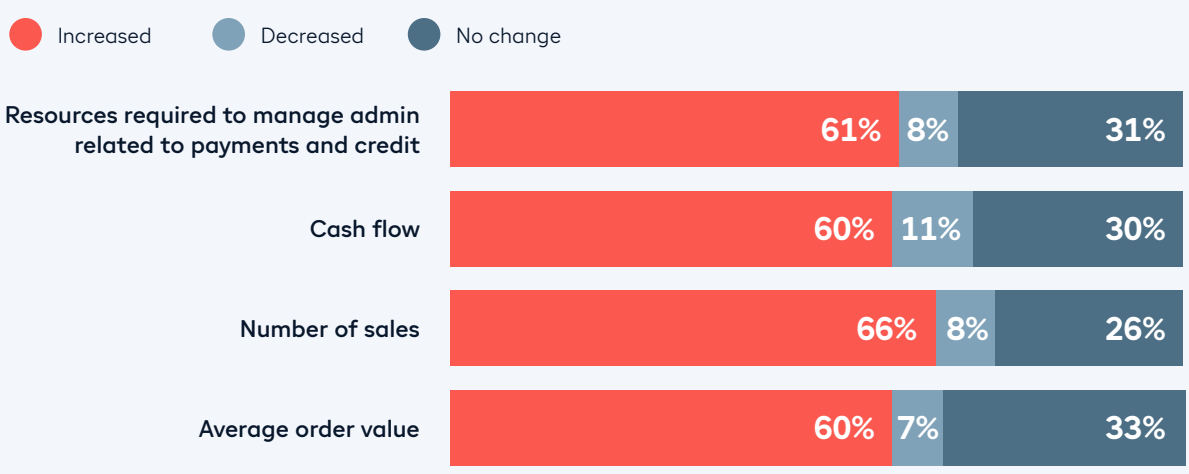


Figure 11: *"Has your business experienced changes to any of the following as a direct result of offering trade credit options?" (as a % of B2B suppliers that offer an internal or external trade credit account)*

Legacy trade credit setups pose some risks for suppliers.

While trade credit drives benefits for suppliers, using traditional methods to do so creates serious challenges:

- 37% of B2B suppliers identified the risk of increased bad debt or late payments as one of their top three concerns when offering extended payment terms (Figure 12, next page). There has been a notable increase in the share of suppliers facing larger outstanding debts exceeding £10,000, which rose from 35% in 2020 to 48% in 2024 (Figure 13, next page). For those offering payment terms, this figure stands at 54% in 2024.
- Related to this, another major concern for suppliers in offering payment terms include limited cash flow when investing in business operations or growth and managing short-term cash flow ahead of customer repayments.
- Outside of cash flow related concerns the cost of offering trade credit, including the administrative cost, was also a key concern.

These factors become more of an issue as the demand and use of trade credit grows. At scale, offering flexible payment terms involves a heavy administrative burden.

Suppliers would need to assess the creditworthiness of customers and conduct credit checks before offering payment terms. Assessing credit is a highly specialised task – banks and lenders such as iwoca have whole teams dedicated to underwriting lending risk. Putting this task on a business with little experience or dedicated resources is a huge task, and it shows.

Only 29% of surveyed B2B suppliers offering payment terms are very confident in assessing the creditworthiness of their customers, and only 58% conduct credit checks.

In order to make trade credit work for businesses – both customers and suppliers – they need a simpler, more scalable solution. In line with trends in B2B, that means a digital solution that fits with emerging business models.

37% of B2B suppliers identified increased bad debt or late payments as one of their top three concerns when offering extended payment terms.

"My biggest challenges/risks when deciding on extending trade credit or longer payment terms"

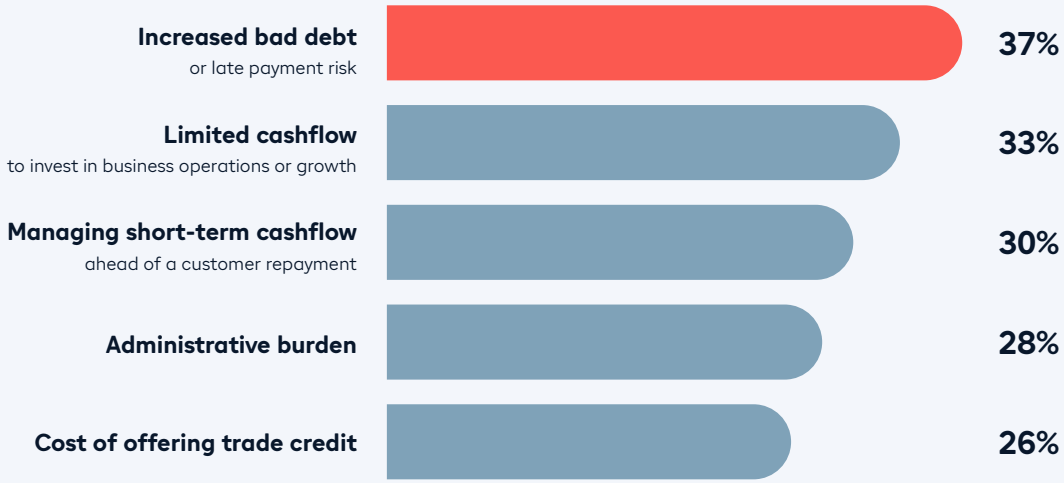


Figure 12: *"Which, if any, of the following are the biggest challenges/ isks when deciding on extending trade credit or longer payment terms to your customers?" (as a % of 2024 B2B suppliers)*

Suppliers with outstanding debt exceeding £10,000 has increased over time.

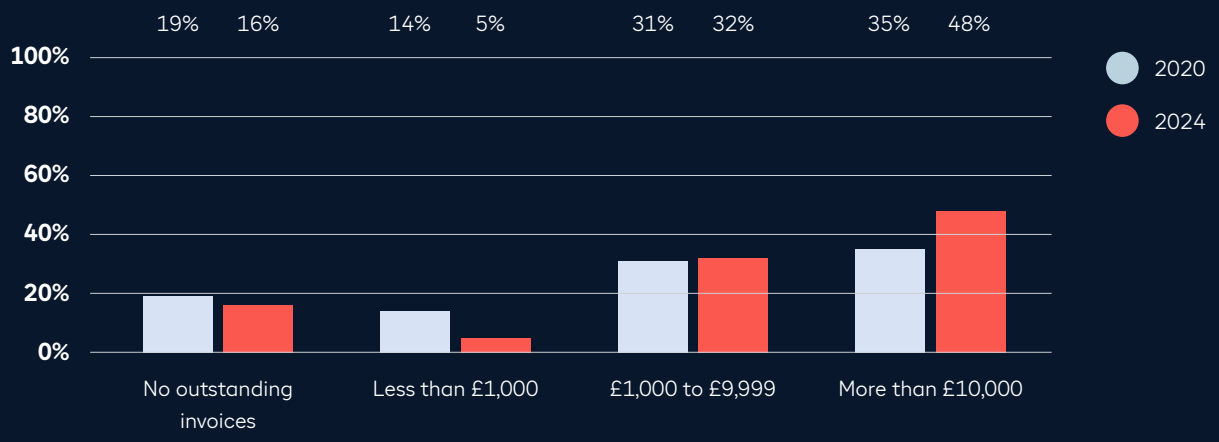


Figure 13: *"What is the total value of your outstanding debt currently?" (as a % B2B suppliers time series comparison sample)*

Section three

Digital trade credit can create a win-win for customers and suppliers

- Digital trade credit has the potential to combine the efficiencies of scale and convenience of ecommerce with flexible financing.
- Businesses using digital trade credit gain the benefits of trade credit, as well as a reduction in the risks and administrative burden of managing payments.
- The result is a measurable boost in productivity between those investing in digital solutions and those lagging.

It's clear trade credit is essential for customers, but badly handled, it can create risks for suppliers.

Digital trade credit solutions bridge this gap by addressing customers' need for flexible payment terms while mitigating the challenges suppliers face offering them.

How digital trade credit is different from traditional trade credit.

Traditional trade credit typically involves suppliers offering interest-free loans to customers, which creates issues of late payments and requires effort from suppliers, including assessing customer credit risk and managing payment follow-ups.

Digital trade credit solutions guarantee upfront payment to suppliers, with digital trade credit providers assuming the risk of payment and managing customer credit assessments. This removes the burden of late payments and credit checks from suppliers.

Meanwhile, customers still gain all the benefits of trade credit - the ability to access credit to spend with their suppliers and spread payments over a later period.

Unsurprisingly, digitised firms were more likely to offer digital trade credit solutions (Figure 14, below):

- A large majority of fully digitised firms either actively offer or have at least considered offering a digital trade credit solution.
- This compares to just over a third of those who are minimally digitised.

Fully digitised businesses are 3x more likely to offer digital trade credit solutions than minimally digitised businesses.

"Have you considered offering trade credit options?"

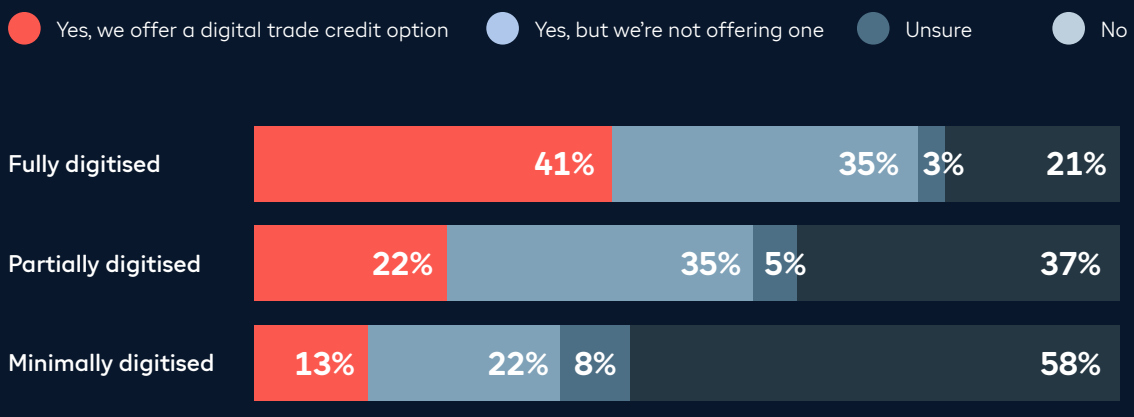


Figure 14: *Use of digital trade credit solutions by categorisation of digitalisation (as a % of B2B businesses in each category)*

The trade credit comparison chart

The right option for you will depend on your priorities as a business.

Do you need high flexibility, so you can adjust your payment terms if a customer is struggling to pay? Or do you want to free up your team to focus on the things they're good at, by reducing administrative burden? Use the chart below to quickly compare options.

	Payment term flexibility	Credit risk	Accessibility	Administrative burden	Fees
Manage internally through informal methods, with net payment terms or early payment discounts.	High flex	High risk	Easy access	High	Low explicit
Manage internally through formal methods, with a Trade Credit account managed by a credit control team	High flex	Medium risk	Limited access	High	Low explicit
Work with a supplier to create a Trade Credit account, managed by a finance provider	Low flex	Low risk	Limited access	Some	Some explicit
Work with a supplier to offer integrated Trade Credit (like iwocaPay)	High flex	Low risk	Easy access	Low	Some explicit

Explicit vs. implicit costs. This is an interesting one - managing trade credit within your business will of course be much cheaper. But it's worth considering the time and energy costs of the additional administrative burden.

If you'd like a bit more detail about anything on this chart, our team are always happy to jump on the phone and talk to small business owners in the UK.

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Digitisation and the use of trade credit solutions are both linked to higher productivity.

Fully digitised businesses in our research sample were 3.4x more productive than those who were less digitised (Figure 15, next page).

Looking specifically at only the larger firms in our sample (those with over 100 employees), fully digitised firms are 1.3x more productive compared to minimally digitised firms in this group[9]. Larger, fully digitised businesses produce nearly £57,000 more revenue per employee than their less digital counterparts.

It's a common theme with other studies consistently demonstrating a positive correlation between digitisation and productivity[10]. The shift to digital boosts productivity in a variety of ways, like improved processes, innovation and operations[11].

Digital trade credit is a second generation digital product, meaning that to get the full benefits of the solution, a business will need to have a foundation in digital first. But, as a second generation digital product, it also has an amplifying impact on a business. Fully digitised businesses that offer digital trade credit solutions are, on average, 2.6x more productive than digital businesses without digitised trade credit (Figure 16, next page). In other words, they're generating 2.6x more revenue per employee than other digital business who have not yet upgraded to digital trade credit.

Introducing a digital trade credit solution can generate substantial productivity gains which may derive from its benefits such as:

- Upfront payments - which supports cash flow, allowing for greater investment in business growth. This capability addresses a common concern among suppliers when extending payment terms.
- Streamlined administrative processes - automating credit evaluations, approvals, and transactions significantly reduces the time required to process trade credit. This efficiency lets businesses focus on core activities, enhancing productivity.

The gains for customers are also significant. Digital trade credit solutions allow customers to access the funds they need faster than traditional methods and gives them more control and flexibility over how they spread their payments, rather than simply delaying them.

Fully digitised firms have productivity levels 3.4x higher than minimally digitised firms.

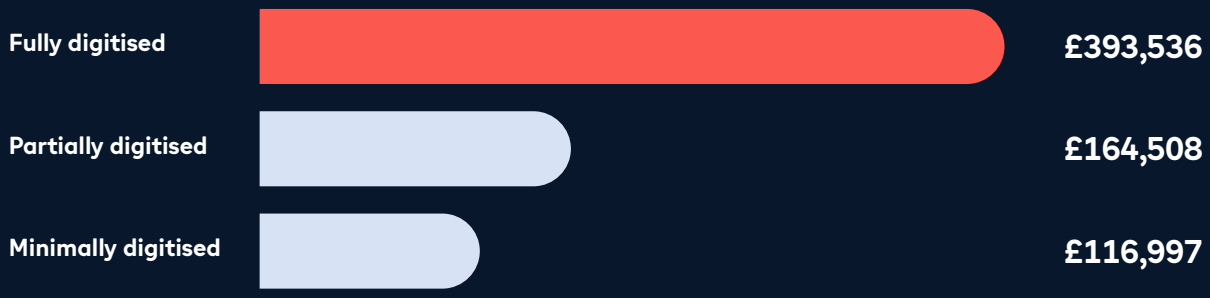


Figure 15: *"Measuring productivity: Average revenue per employee by status of digitalisation."*

Fully digitised firms offering digital trade credit solutions demonstrate productivity levels 2.6x higher than fully digitised firms that do not.

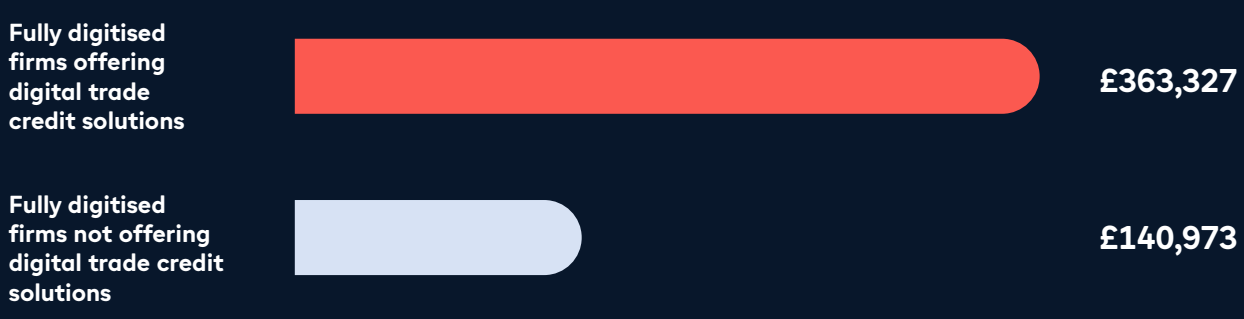


Figure 16: *"Measuring productivity: Average revenue per employee by status of digitalisation."*

The benefits of digital trade credit for suppliers go beyond increasing revenue.

While more than a third of all businesses highlighted some benefits of trade credit (Figure 18, next page), businesses who are already offering digital trade credit were substantially more likely to cite the benefits of offering a digital trade credit offering:

- 52% cited "Improved competitiveness through flexible payment options"
- 49% cited "Revenue growth"
- 43% cited "Reduced credit risk"

For B2B ecommerce providers who are investing in digital more generally, these benefits are amplified:

- 63% see increased revenue and/or competitiveness
- 71% see reduced costs and/or administration

Customers who used digital trade credit solutions also highlighted the benefits of increased purchasing power and ease of managing payment. Digital trade credit solutions offer the advantage of investing in growth opportunities that require upfront payments, as well as simplifying repeat purchases through easier payment management and reduced immediate cash needs.

Both suppliers and customers using digital trade credit are clearly feeling the benefits of managing trade credit online and its potential to grow revenue over traditional trade credit. For businesses mid-way or well-along their digital journey the opportunity for their business is significant. Digital trade credit has the potential to both accelerate their growth trajectory, with increased revenue and sales, but also reduced risk and administration while offering a superior, flexible customer experience.

Ecommerce providers are more likely to see the benefits of digital trade credit.

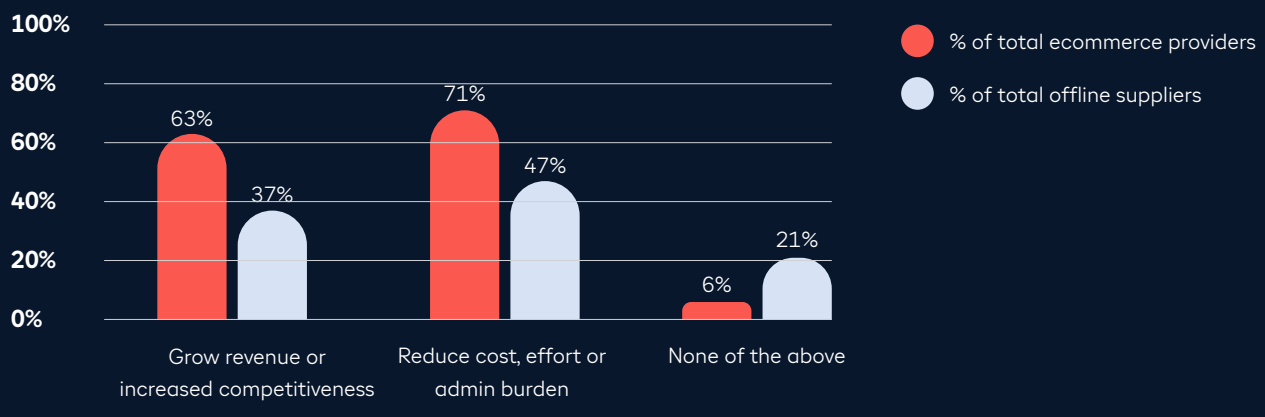


Figure 17: *"Which, if any, of the following reasons best describe why your business would consider offering or is currently offering digital trade credit solutions?"*

What do suppliers and customers like about trade credit solutions?

Suppliers



Customers



Figure 18, Suppliers: *"Which, if any, of the following reasons best describe why your business would consider offering or is currently offering digital trade credit solutions?"* ***Figure 18, Customers:*** *Reasons best describing why customers would consider using or are currently using digital trade credit solutions*



Christopher Breen, Head of Economic Insight
CEBR

Conclusion

This report underscores the need for B2B businesses to modernise their credit systems and embrace digital solutions. Ecommerce has become a critical driver of B2B growth, with 62% of UK B2B businesses now conducting more than half of their orders online.

Moving to the online sphere not only increases convenience for both sellers and customers but also encourages further investment in digitalisation among businesses already in this space. This trend is evident as B2B ecommerce businesses are three times more likely to invest substantially in digitalisation compared to their traditional counterparts, widening the gap between those who have invested in digital solutions and those who have not. There is therefore an argument that B2B suppliers should invest in ecommerce and digital capabilities to maintain competitiveness and avoid being left behind.

In addition to accelerating digitalisation, one crucial aspect that needs better integration into the digital sphere is trade credit. Trade credit remains an important negotiation tool among B2B businesses, with almost one-fifth of B2B businesses not proceeding with a supplier due to a lack of, or inadequate, payment terms. While such terms are important for customers, they increase strain on suppliers through delayed payments and the risk of bad debts.

Despite these risks, 80% of B2B suppliers offer some form of payment terms, recognising the importance of trade credit in securing sales. The already widespread use of trade credit systems presents an opportunity for them to be modernised by the use of digital solutions, which

"Embracing these solutions can improve cash flow, streamline processes, improve competitiveness, and drive significant revenue growth."

could help both suppliers and customers to navigate these financial pressures effectively.

Digital trade credit combines ecommerce efficiency with flexible financing, significantly boosting productivity. Businesses adopting digital trade credit experience reduced risks and administrative burdens, while customers enjoy flexible payment terms and suppliers receive upfront payments. This approach mitigates issues like late payments and credit assessments associated with traditional trade credit.

Fully digitised businesses are three times more likely to offer digital trade credit solutions compared to their minimally digitised counterparts.

This suggests that firms leading in digitalisation are better positioned to integrate advanced solutions. Meanwhile, according to Cebr's analysis of the survey results, fully digitised businesses offering digital trade credit solutions have productivity levels that are, on average, up to 2.6 times higher than those that do not provide such solutions.

This evidence suggests that there is an incentive for B2B businesses to adopt digital trade credit solutions. Embracing these solutions can not only boost productivity but can also improve cash flow, streamline processes, improve competitiveness, and drive significant revenue growth. Delaying adoption risks falling further behind counterparts who have already integrated these solutions.

Appendix

Research Approach

The report is based on insights from a bespoke survey of 500 B2B SME businesses in the UK. This comprises 375 B2B sellers and 287 B2B customers. To enable a time series comparison, a sub-sample of the 2024 sample was created to ensure that it is comparable with the 2020 sample.

This year's survey also includes insights broken down by six industries and different business sizes within SMEs. Specifically, the report categorises business sizes as follows: micro-businesses (fewer than 10 employees), small businesses (11-50 employees), medium businesses (51-200 employees), and larger businesses (more than 200 employees).

Detailed sample composition for these demographics is below.

Digital definition

To assess the degree of digitalisation among B2B suppliers, the survey asks businesses on a scale ranging from "describes my business very well" to "doesn't describe my business at all" across the following five statements,

- Having an online presence
- Using digital marketing
- Having an ecommerce integration where customers can make online purchases
- Using cloud software
- Using generative AI

Results revealed that more than 60% of respondents reported that their business is well described in the first four aspects of digitalisation. With generative AI as the least adopted form of digitalisation among surveyed respondents.

Using the statements, we categorised surveyed businesses into three levels of digitalisation.

1. Fully digitised: Respondents have selected 'describes my business somewhat well' or 'very well' for all five categories
2. Partially digitised: Respondents have selected 'describes my business somewhat well' or 'very well' for three or four categories
3. Minimally digitised: Respondents have selected 'describes my business somewhat well' or 'very well' for zero, one or two categories.

Sample Sizes

1. 2024 total sample size by customer base

I have a variety of UK business customers, large and small	147
I mostly sell to businesses overseas	10
I sell mostly to consumers	125
I sell mostly to UK small businesses	63
I sell to consumers and UK businesses	118
I sell to mostly UK large businesses	37
Total	**500**

2. 2024 B2B supplier sample

I have a variety of UK business customers, large and small	147
I mostly sell to businesses overseas	10
I sell mostly to UK small businesses	63
I sell to consumers and UK businesses	118
I sell to mostly UK large businesses	37
Total	**375**

3. 2024 B2B buyer sample.

The initial customer base was filtered to account for:

- *UK businesses that have a variety of UK customers, large and small*
- *Those that sell mostly to customers*
- *Those that sell to consumers and UK businesses*

After which, the following from the supplier base were considered:

I buy from large and small businesses, mostly in the UK	162
I mostly purchase from overseas suppliers	51
Most of my suppliers are UK small businesses	74
Total	**287**

4. 2024 business size breakdown

1-10 employees	51
11-50 employees	103
51-200 employees	108
201-250 employees	113

5. 2024 industry breakdown

Construction	42
Production	34
Finance and Insurance	46
Information and Communication	51
Retail and Wholesale	51
Retail	*36*
Wholesale	*15*
Professional Services	61
Business Administration and Support Services	*18*
Professional, Scientific & Technical	*43*
Other	90
Accommodation and Food Services	*8*
Agriculture, Forestry and Fishing	*6*
Education	*10*
Health	*10*
Mining, Quarrying and Utilities	*4*
Motor Trades	*9*
Other	*23*
Property	*6*
Public Administration	*1*
Transport and Storage (incl. Postal)	*13*

6. Time series comparison; Suppliers

	B2B sample 2024	B2B sample 2020
I sell mostly to UK small businesses	147	58
I sell to consumers and UK businesses	63	93
I have a variety of UK business customers, large and small	118	92
Total	**328**	**243**

7. Time series comparison; Customers

	B2B sample 2024	B2B sample 2020
I buy from large and small businesses, mostly in the UK	162	139
I mostly purchase from overseas suppliers	51	24
Most of my suppliers are UK small businesses	74	139
Total	**287**	**302**

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6 This represents the percentage of B2B suppliers that noted that they receive payments via this method always (100% of customers), often (more than 50% of customers), sometimes (10%-50% of customers) or rarely (less than 10% customers)

7 This represents the percentage of B2B customers that noted that they pay their suppliers via this method always (100% of payments), often (more than 50% of payments), sometimes (10%-50% of payments) or rarely (less than 10% payments)

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